

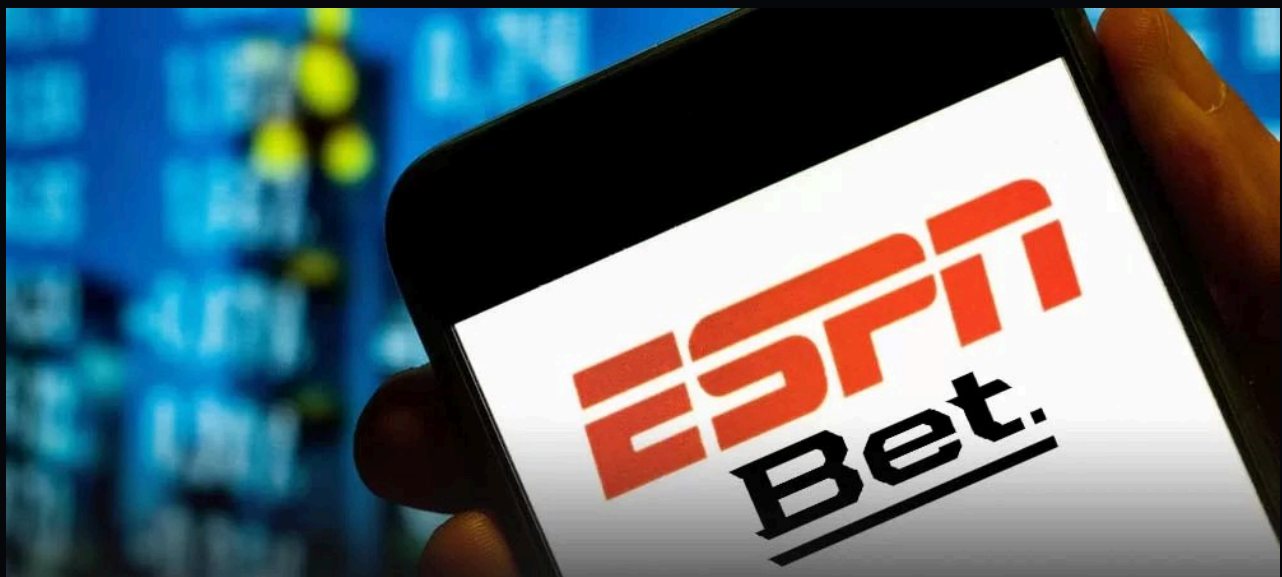
WEEK 5-1

SPORTS BETTING

SPM261 Intro to Sport Management · Arcadia University

DISNEY PREPARES SPORTS BETTING PUSH

- Mouse will be more aggressive in sports betting, namely by exploring partnerships for ESPN.
- ESPN has so far avoided operating its own sportsbook, but is reportedly seeking around **\$3 billion** in a multiyear deal to attach its name to an existing sportsbook.
- The U.S. sports betting market could grow to **\$37 billion** by 2025, according to investment manager Ark Invest.
- Disney's broadcast rights include NFL, MLB, NBA, NHL, Wimbledon, PGA Tour, and LaLiga. The company is spreading its sports broadcasts beyond ESPN to ABC and Hulu.

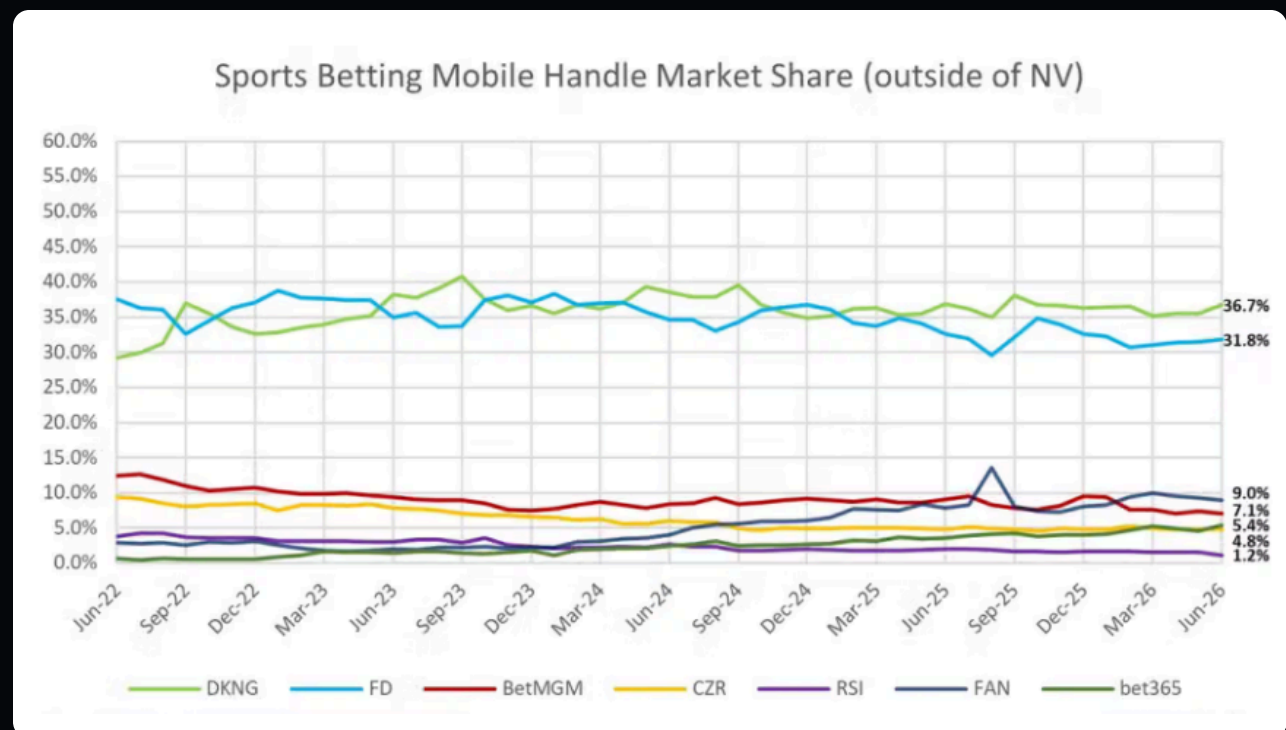


PENN ENTERTAINMENT TO REBRAND SPORTSBOOK AS ESPN BET

- ESPN has signed a licensing deal with Penn Entertainment to create ESPN BET
- Penn agreed to pay ESPN **\$1.5 billion** in cash over 10 years
- Grant ESPN **\$500 million** of warrants to purchase 31.8 million common shares of Penn
- In the US sports betting market, DraftKings and FanDuel command most of the sportsbook outside of Nevada, with **37%** and **35%**, respectively.
- ESPN Bet has **3.2%** market share
- BetMGM **8%**
- Caesars Entertainment **5%**



SPORTS BETTING MOBILE HANDLE MARKET SHARE (OUTSIDE OF NV)



Source: casinoreports.com/us-sports-betting-market-stats-database

HANDLE, GGR & TAX RATE BY STATE (TOP 5)

STATE	ONLINE LAUNCH	2025 HANDLE	2025 GGR	GGR TAX RATE (2026)
New York	Jan 2022	\$26.3B	\$2.56B	51%
Illinois	Jun 2020	\$15.5B	\$1.60B	20–40% graduated + per-wager fee
New Jersey	Aug 2018	\$12.2B	\$1.19B	19.75% (raised from 13% in 2025)
Ohio	Jan 2023	\$9.5B	\$1.10B	20%
Pennsylvania	May 2019	\$9.0B	\$0.86B	36%

US Total – 39 Jurisdictions: Handle **\$166.9B** & GGR **\$16.96B**

Source: track360.io/blog/sports-betting-statistics-2026-us-handle-revenue-by-state

SPORTS BETTING

- Professional and Amateur Sports Protection Act (PASPA, 1992–2018)
- Individual states do determine whether and how to legalize sports betting
- Is this future of sports business?
- Sports analytics, technology, etc.

[marketwatch.com/press-release/online-sports-betting-market-size-growth-2021-global-trend-industry-news-industry-demand-business-top-key-players-update-business-statistics-and-research-methodology-by-forecast-to-2027-2021-07-22](https://www.marketwatch.com/story/online-sports-betting-market-size-growth-2021-global-trend-industry-news-industry-demand-business-top-key-players-update-business-statistics-and-research-methodology-by-forecast-to-2027-2021-07-22)



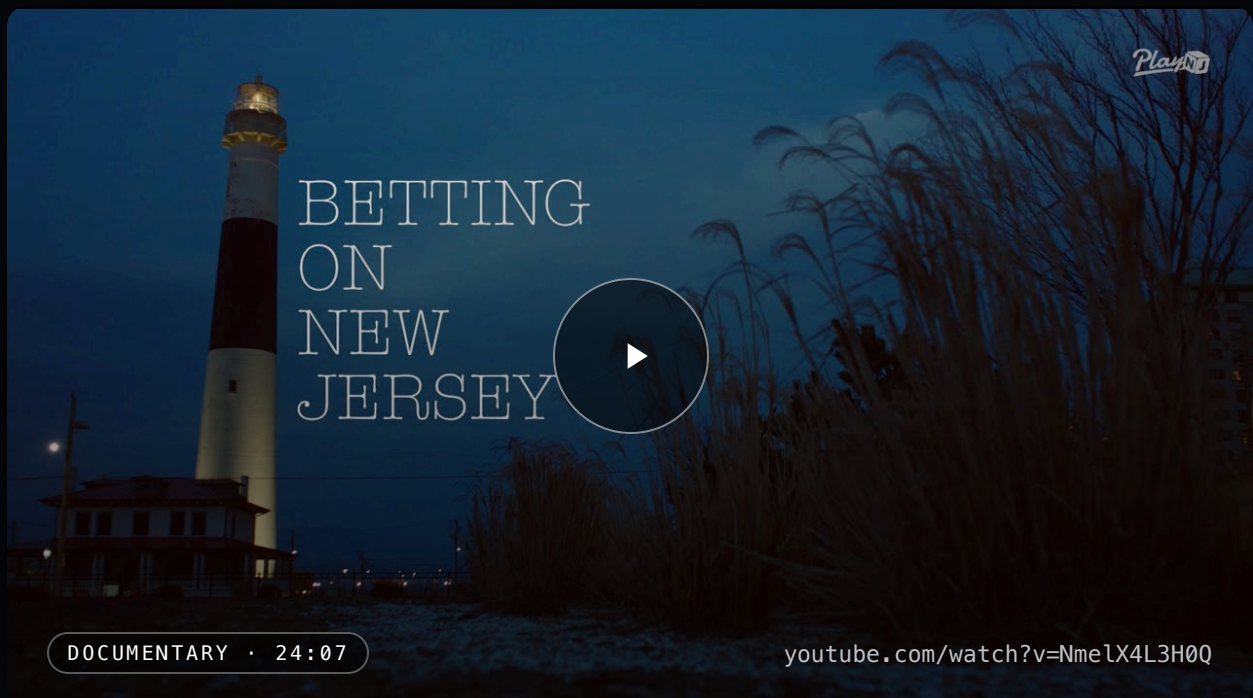


PRIOR TO 1992

- Nevada was the only state in the US with full-scale legal sports wagering
- Prior to 1992, sports betting was not allowed in Atlantic City, NJ.
- For decades, Atlantic City was the only US location outside Nevada to have legal casinos.
- 2011–2018: NJ voters and lawmakers repeatedly attempted to legalize sports betting
- **Murphy vs NCAA (2018)** — NJ wanted to legalize it vs PASPA prevented it from doing so
- The Supreme Court addressed the principles of federalism, particularly the Tenth Amendment, which reserves powers not delegated to the federal government to the states.
- PASPA violated the anti-commandeering doctrine

A NJ SPORTS BETTING DOCUMENTARY

BETTING ON NEW JERSEY



NJ SPORTS BETTING MARKET



YEAR	TOTAL HANDLE	REVENUE	HOLD %	STATE TAX REVENUE
2018	\$1,247,307,720	\$94,022,392	7.54%	\$11,597,775
2019	\$4,582,898,150	\$299,326,239	6.53%	\$39,594,127
2020	\$6,016,968,399	\$398,521,093	6.62%	\$50,891,397
2024	\$12,811,517,804	\$1,094,630,340	8.4%	\$141,200,000

- **Handle** refers to the total amount wagered on sports.
- **Revenue** reflects the gross gaming revenue kept by sportsbooks after paying out winning bets.
- **Hold percentage** shows how much revenue sportsbooks kept as a function of the betting handle.
- **State tax revenue** displays taxes collected by the state and local jurisdictions.

Source: nj.com/news/2025/01/nj-bettors-dropped-13b-in-wagers-last-year-but-has-the-market-hit-it-s-peak.html

NFL ANNOUNCES CAESARS, DRAFTKINGS, FANDUEL AS FIRST SPORTS BETTING PARTNERS



One source cites a \$1B total figure for the arrangement.

theathletic.com – NFL announces Caesars, DraftKings, FanDuel as first sports betting partners
sportspromedia.com/news/nfl-sports-betting-sponsor-draftkings-fanduel-caesars-fox-bet



NFL ADDS FOUR MORE APPROVED SPORTSBOOK PARTNERS

- The NFL landed secondary deals with **PointsBet**, **BetMGM**, **FOX Bet**, and **Wynnbet**.
- Partnership deals with the NFL usually run from three to seven years and cost a minimum of **\$10 million per year** for smaller companies. More prominent firms could pay more than **\$200 million per year**.

profootballtalk.nbcsports.com/2021/08/30/nfl-adds-four-more-approved-sportsbook-partners

SPORTS BETTING BECOMES LEGAL IN ARIZONA; PHOENIX SUNS, TPC SCOTTSDALE TO BUILD SPORTSBOOKS INSIDE VENUES

- DraftKings announced a partnership with the PGA Tour and TPC Scottsdale, which will see the sportsbook open a retail location on-site at the home of the PGA Tour's Waste Management Phoenix Open and its rowdy 16th hole.
- The Phoenix Suns announced a partnership with FanDuel that will see the two team up to offer a luxury sportsbook inside Phoenix Suns Arena starting next season.



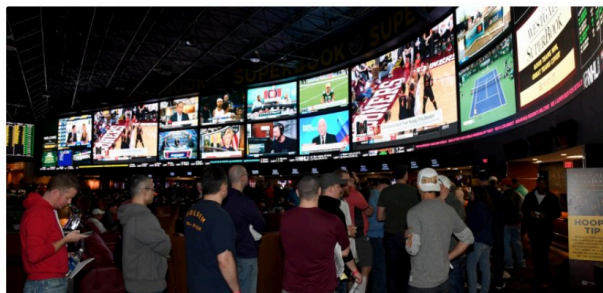
- With 33 states currently allowing legal sports gambling, roughly 17 NFL franchises will be permitted to host on-site sportsbooks, the revenue from which they will be able to keep up to a certain threshold — believed to be up to **\$20 million** — before the revenue is pooled and shared with the league's other 31 teams.
- Presently, the Washington Commanders are the only team in the NFL that has a physical sportsbook within their stadium. However, the Arizona Cardinals have a sportsbook just outside of their venue, as does MetLife Stadium, which is home to both the New York Giants and New York Jets.

NFL owners vote to allow physical sportsbooks at stadiums to take bets during games

With 33 states currently allowing legal sports gambling, roughly 17 NFL franchises will be permitted to host on-site sportsbooks



By **Steven Taranto** Mar 29, 2023 at 1:55 pm ET • 1 min read



WATCH

FIRST EVER SPORTSBOOK IN NFL STADIUM OPENS AT FEDEX FIELD

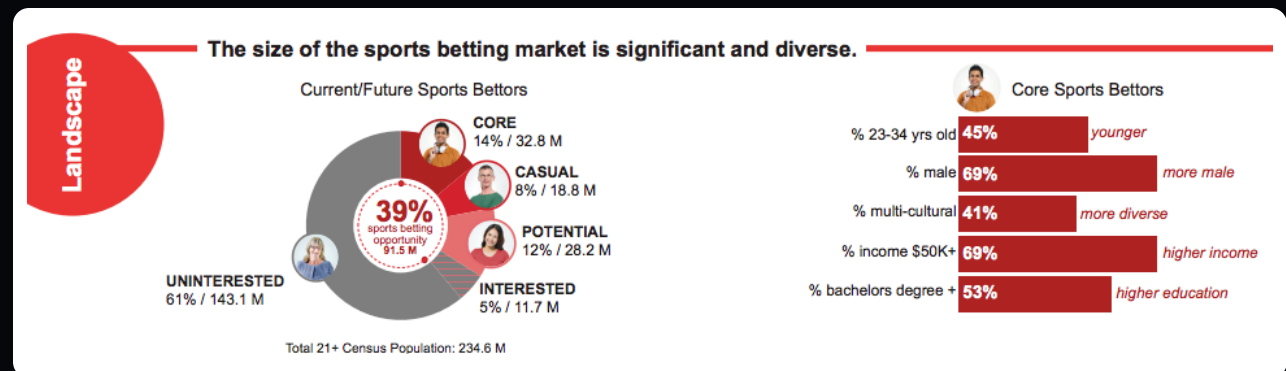


DRAFTKINGS MOVES FORWARD WITH IN-STADIUM SPORTSBOOK PROJECT AT CHICAGO CUBS' WRIGLEY FIELD



- DraftKings shut down in-person sports betting at its Wrigley Field Sportsbook on **May 31, 2026**
- High operating costs (high taxes)
- Shift to mobile
- Low retail demand

CONSUMER MOVEMENT TOWARD SPORTS BETTING (2019)

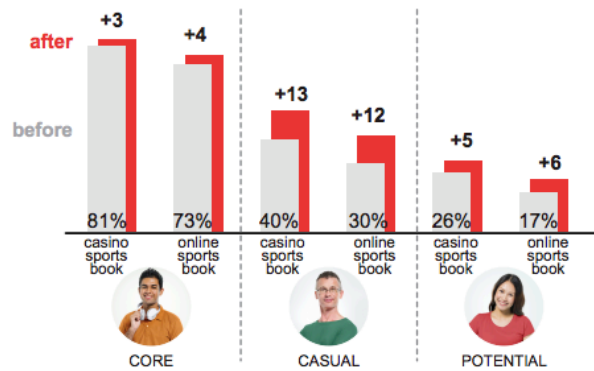


CONSUMER MOVEMENT TOWARD SPORTS BETTING (2019) CONT.

Participation

Hearing about repeal and legalization would increase the percentage of consumers who expect to bet on sports.

Percent of Consumers Expecting to Bet on Sports, Next 12 Mo.
Showing Net Change



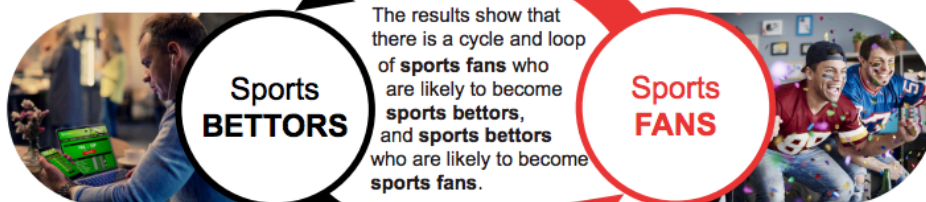
Impact of Legalization on Core Sports Betting Frequency

Has changed since legalization in my state (excluding NV)

placed more bets
46%

Would change if legalized in my state

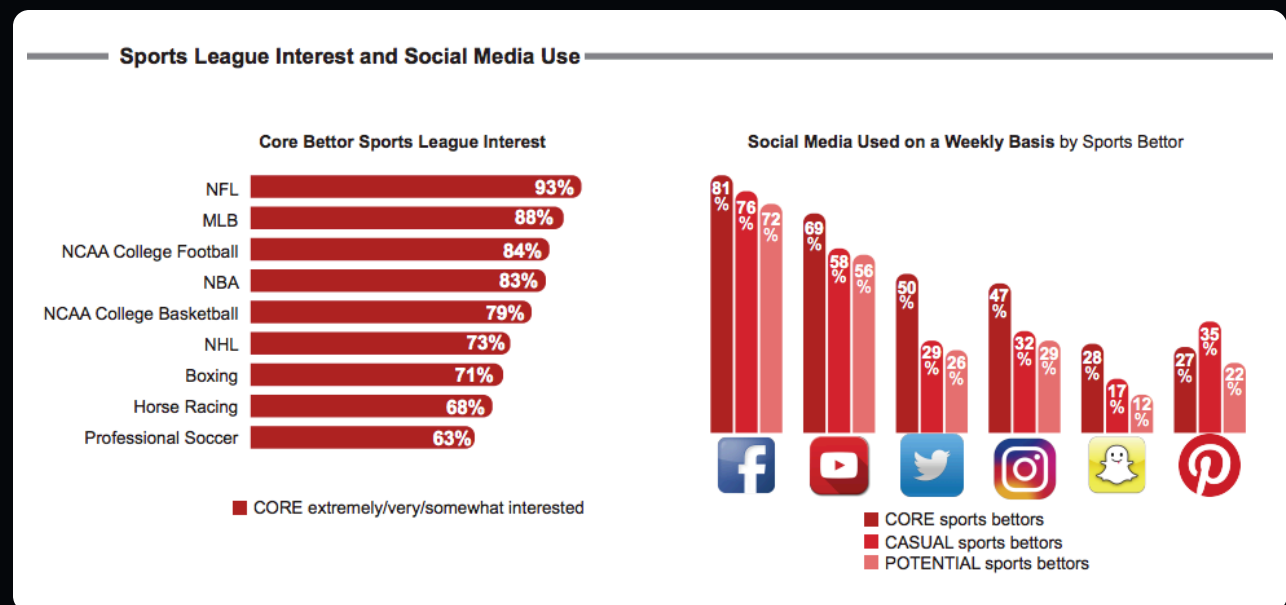
would place more bets
69%



On average, Core sports bettors are **nearly twice as likely** to be fans of a sport compared to non-bettors.

On average, sports fans are **more than twice as likely** to be Core sports bettors than non-sports fans.

CONSUMER MOVEMENT TOWARD SPORTS BETTING (2019) CONT.



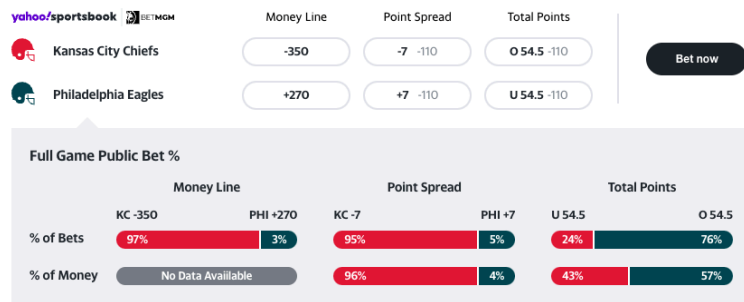
SPORT BETTING TAX RATES

STATE	TAX RATE
Arkansas	13% (first \$150 million); 20% (above \$150 million)
Delaware	43.75%
District of Columbia	10% on private operators; DC Lottery collects revenue minus expenses
Indiana	9.5%
Iowa	6.75%
Mississippi	12%
Montana	Montana Lottery collects revenue minus expenses
Nevada	6.75%
New Jersey	9.75% in-person bet; 14.25% online bet
Pennsylvania	36%
Rhode Island	51%
Tennessee	20%
West Virginia	10%

Source: State websites and legislation. Notes: Each state's tax is levied on gaming revenue, which is the operator's take after paying winners. Mississippi's and Pennsylvania's rates include local taxes. New Jersey's rates include the state's 1.25% investment alternative tax, which is levied on both in-person and online sports wagers.

ncsl.org/research/fiscal-policy/the-early-bets-are-in-is-sports-betting-paying-off.aspx

SPORTS BETTING 101: ODDS



MONEY LINE

-350: the odds for favorites have a minus (-) sign in front, and indicate the money you need to risk to win \$100

+270: the odds for underdogs will have a plus (+) sign in front, and indicate the money you will win for every \$100 risked.

POINT SPREAD

-7: Chiefs must win the game by more than 7 points for you to win your bet.

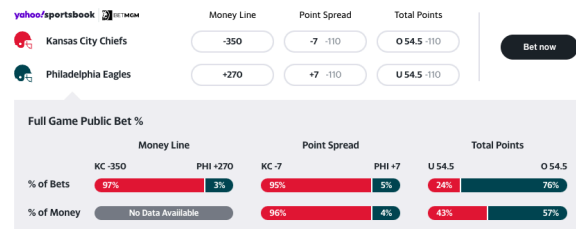
+7: Eagles must win the game, or lose by less than 7 points for you to win your bet

TOTAL POINTS

O 54.5: In order to win \$100, you must bet \$110 on the overall combined score to be higher than 54.5.

U 54.5: In order to win \$100, you must wager \$110 on the total combined score to be less than 54.5.

SPORTS BETTING 101: ODDS CONT.



SCENARIO

Betting \$100 on Eagles win

Betting \$110 on Eagles losing the game by less than 7 points

Betting \$110 on the overall combined score to be higher than 54

GAME OUTCOME

EAGLES 30 – CHIEFS 42

DISCUSSION

What is the TOTAL amount of money you win or lose?

HOW DO BOOKMAKERS MAKE MONEY?

- Bookmakers try to set the line so half the money is bet on each side. If this is the case, the bookmaker cannot lose.
- Eagles -6 (-110) · Cowboys +6 (-110)
- **-110**: the money you need to risk to win \$100
- Bookie pays one bettor \$100 and collects \$110 from the other (\$220 total)
- Bookmaker wins \$10, so the vig is $10/220 = 0.045 = 4.5\%$
- **Vig** — 'Vigorish'; a typical spread bet (-110) carries around a 4.5% vig.

gamblingsites.org/sports-betting/essentials/why-odds-lines-change

WHY ODDS AND LINES CHANGE? CONT.

Sportsbooks like to get the same amount of money on both sides of a bet so they never lose any money.

gamblingsites.org/sports-betting/essentials/why-odds-lines-change

QUESTIONS?
